Comparative Financial Impact

Analysis SBI vs HDFC (FY18–FY25) **Dipyaman Chakraborty**

---

1. Introduction

This project presents a comparative financial analysis of State Bank of India (SBI) and HDFC Bank from FY2018 to FY2025, focusing on the structural impact of the COVID-19 period.

The objective was to evaluate:

- Profitability trends
- Asset quality dynamics
- Capital strength
- Lending behaviour
- Balance sheet growth

The analysis was conducted using data extracted from official annual reports and processed through SQL and Power BI.

---

2. Tools & Methodology Tools

Used

- Excel – Data manipulation and consolidation
- MySQL – Financial calculations (YoY growth, CAGR, ratios)
- Power BI – Interactive dashboard and visualization

Data Source

Official Annual Reports of:

- SBI (FY18–FY25)
- HDFC Bank (FY18–FY25) **Key Metrics Analyzed**
- Net Profit (Year-wise & Phase-wise)
- YoY Net Profit Growth (%)
- Gross NPA (%)
- Risk Buffer (CAR – Net NPA)
- Advances to Deposits Ratio
- Total Assets
- Net Profit CAGR

The Master Sheet

The Master Excel Sheet was created to consolidate and standardize financial data extracted from the official annual reports of SBI and HDFC for the period FY18–FY25.

It serves as the central dataset for all subsequent SQL analysis and Power BI visualization.

Year	Bank	Net Profit	NII	Total Assets	Advances	Deposits	Gross NPA	Net NPA	CAR	Phase
2017-18	HDFC	17486.8	40094.86	1063934.32	658333.1	911875.6	1.3	0.4	14.8	PRE - COVID
2017-18	SBI	-6547	74854	3454752	1934880	2706344	10.91	5.73	12.6	PRE - COVID
2018-19	HDFC	21078.14	48243.22	1244540.71	819401.2	1040226	1.36	0.4	17.1	PRE - COVID
2018-19	SBI	862	86973	3738000	2185877	2911000	7.53	3.01	12.72	PRE - COVID
2019-20	HDFC	26257.3	56186.25	1530511.26	993703	1147502	1.26	0.36	18.5	COVID SHOCK
2019-20	SBI	14488	98085	3964000	2325290	3241000	6.15	2.23	13.13	COVID SHOCK
2020-21	HDFC	31116.5	64879.6	1746870.52	1132837	1335060	1.32	0.4	18.8	RECOVERY
2020-21	SBI	20410	110710	4162000	2449498	3508000	4.98	1.5	13.74	RECOVERY
2021-22	HDFC	36961.3	72010	2068535.05	1368821	1559217	1.17	0.32	18.9	RECOVERY
2021-22	SBI	31676	120657	4533000	2733967	4051000	3.97	1.02	13.83	RECOVERY
2022-23	HDFC	44109	86842	2466081.47	1600586	1883395	1.12	0.27	19.3	STABILIZED
2022-23	SBI	50232	144841	5516979	3199269	4423778	2.78	0.67	14.68	STABILIZED
2023-24	HDFC	60812	108532.5	3617623.09	2484862	2379786	1.24	0.33	18.8	GROWTH
2023-24	SBI	61077	159876	6179694	3703971	4916077	2.24	0.57	14.28	GROWTH
2024-25	HDFC	67347	122670.1	3910198.94	2619609	2714715	1.33	0.43	19.6	POST STABILITY
2024-25	SBI	70901	166965	6676053	4163312	5382190	1.82	0.47	14.25	POST STABILITY

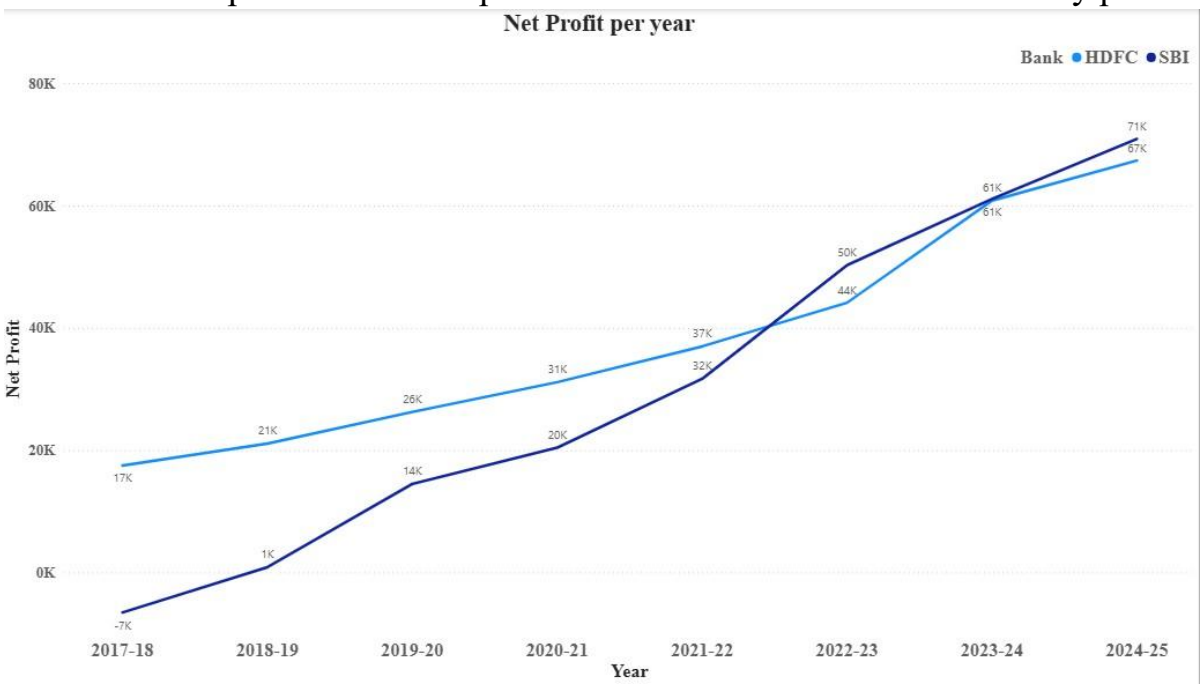
Purpose of the Master Sheet

- To ensure consistency in financial metrics across banks.
- To standardize units and formatting before SQL processing.
- To enable structured phase-wise and year-wise comparisons.
- To act as the single source of truth for all analytical calculations.

3. Profitability Analysis

3.1 Net Profit Trend (FY18–FY25)

This chart compares annual net profit of SBI and HDFC across the study period.



Observations

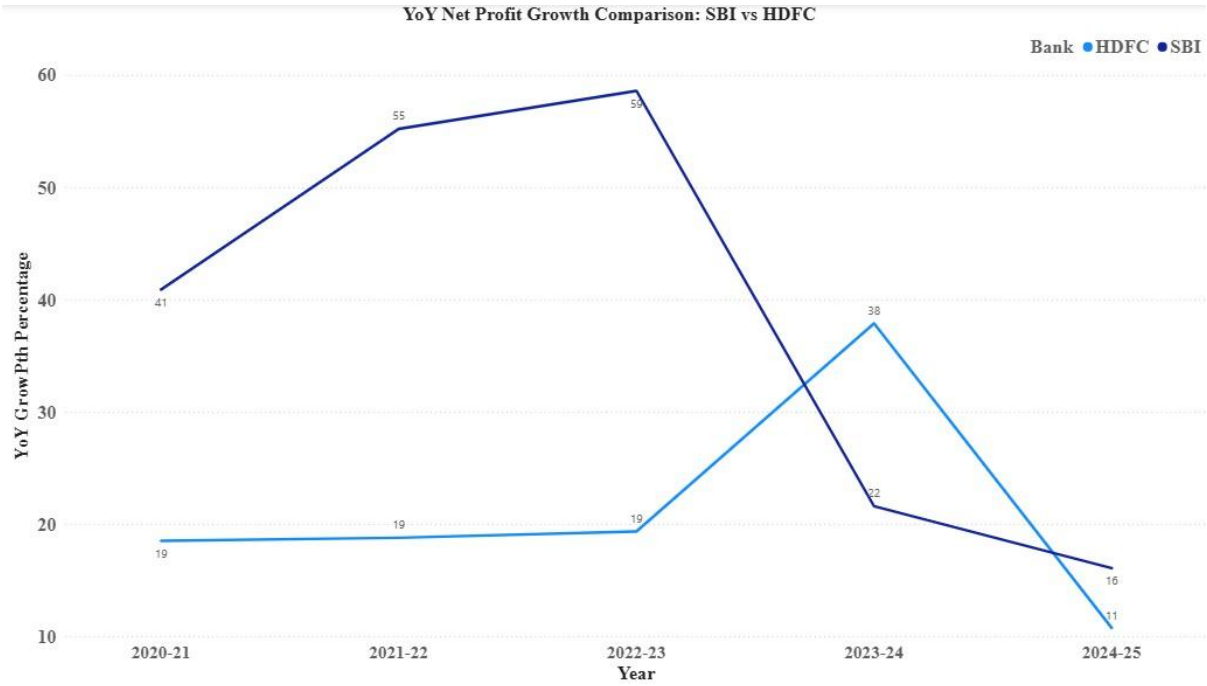
- HDFC maintained steady and consistent profit growth.
- SBI reported a loss in FY18 but showed strong recovery thereafter.
- SBI overtook HDFC in absolute profit during FY23–FY25.

Interpretation

HDFC reflects stable compounding growth, whereas SBI demonstrates a structural turnaround from a stressed base.

3.2 YoY Net Profit Growth (%)

This visualization captures annual growth momentum.



Observations

- HDFC shows relatively stable YoY growth.
- SBI exhibits higher volatility but stronger recovery acceleration postFY21.

Interpretation

SBI's growth profile reflects turnaround dynamics, while HDFC shows disciplined and predictable growth.

3.3 Net Profit CAGR

CAGR was calculated for:

- HDFC: FY18–FY25
- SBI: FY19–FY25 (excluding FY18 loss base)

Net Profit CAGR(%) - HDFC	Net Profit CAGR(%) - SBI
21.36	**108.54**

Observations

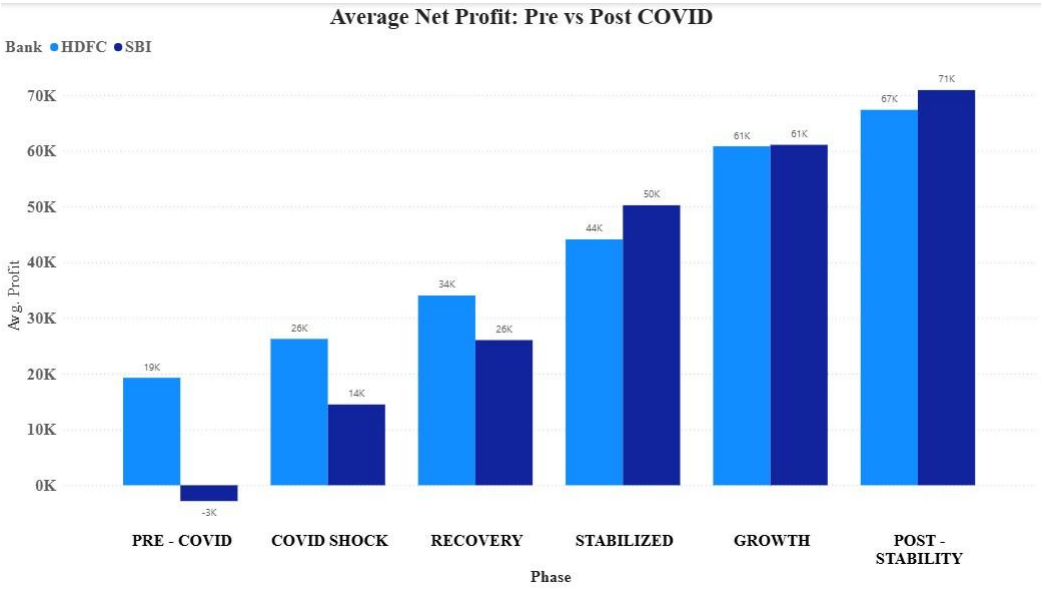
- HDFC CAGR reflects steady long-term compounding.
- SBI CAGR is significantly higher due to recovery from a weak base.

Interpretation

SBI's elevated CAGR reflects structural recovery rather than uniform compounding.

3.4 Net Profit Phase Wise Analysis

This chart compares the average net profit of SBI and HDFC across different economic phases (Pre-COVID, COVID Shock, Recovery, and Stabilized/Growth).



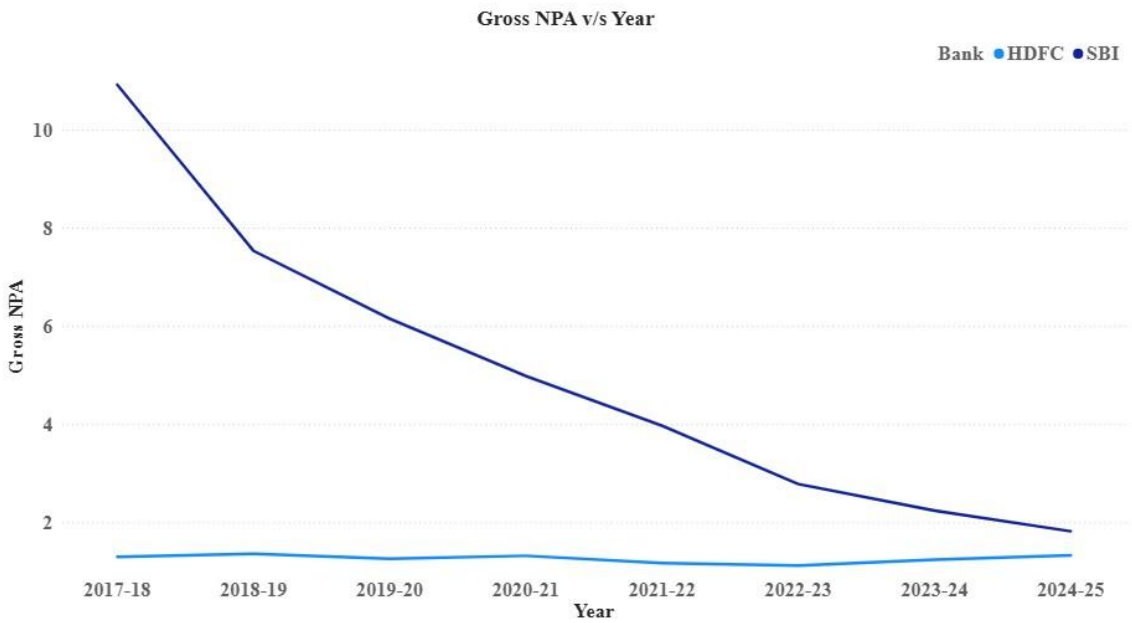
Observations

- During the Pre-COVID phase, HDFC reported significantly higher average profits, while SBI's profitability was weak due to the FY18 loss.
- In the COVID Shock phase, both banks remained profitable, with SBI showing visible improvement.
- In the Recovery phase (FY22), SBI's profit increased sharply, narrowing the gap with HDFC.
- In the Stabilized/Growth phase (FY23–FY25), SBI's average net profit slightly exceeded HDFC. **Interpretation**

The phase-wise analysis highlights two distinct trajectories:
HDFC maintained stable and consistent profitability across all phases, whereas SBI transitioned from a stressed profitability phase to a strong recovery and eventual growth phase. This confirms that SBI's post-COVID performance represents a structural turnaround rather than a temporary rebound.

4. Asset Quality Analysis

4.1 Gross NPA Trend



Observations

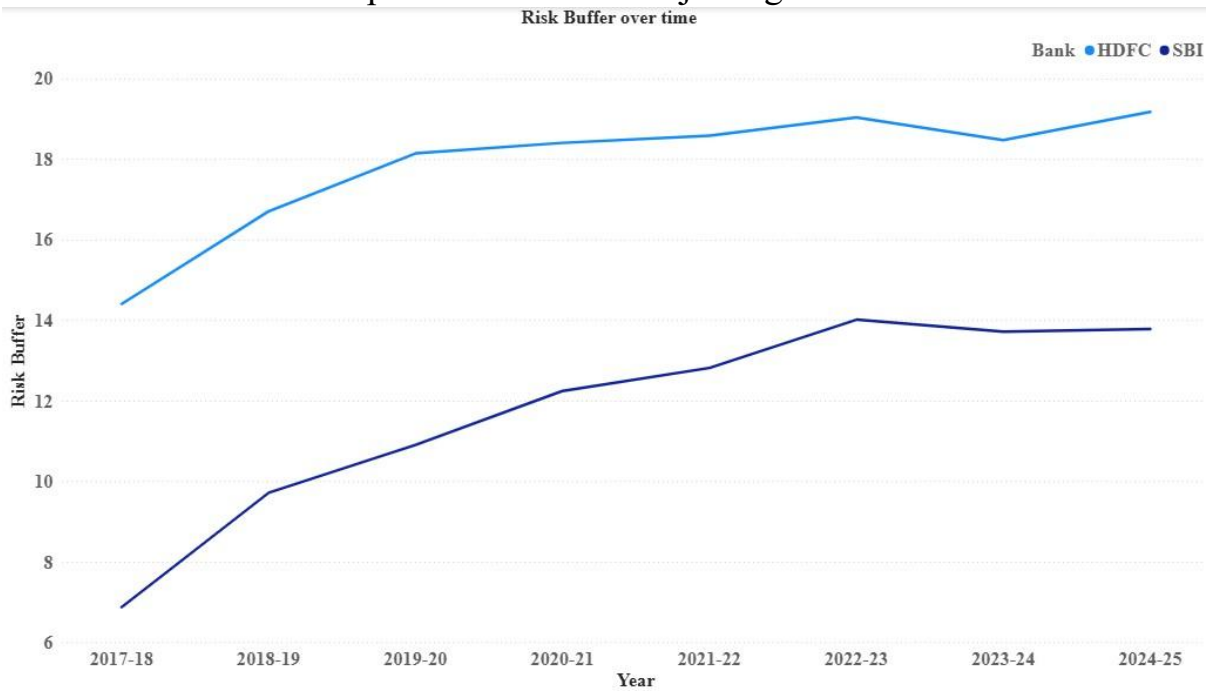
- SBI reduced Gross NPA from double-digit levels to below 2%.
- HDFC maintained consistently low Gross NPA (~1–1.3%).

Interpretation

SBI achieved significant balance sheet repair. HDFC demonstrated disciplined risk management throughout.

4.2 Risk Buffer (CAR − Net NPA)

Risk Buffer measures capital cushion after adjusting for asset risk.



Observations

- HDFC maintained a consistently higher risk buffer.
- SBI improved its risk buffer gradually across phases.

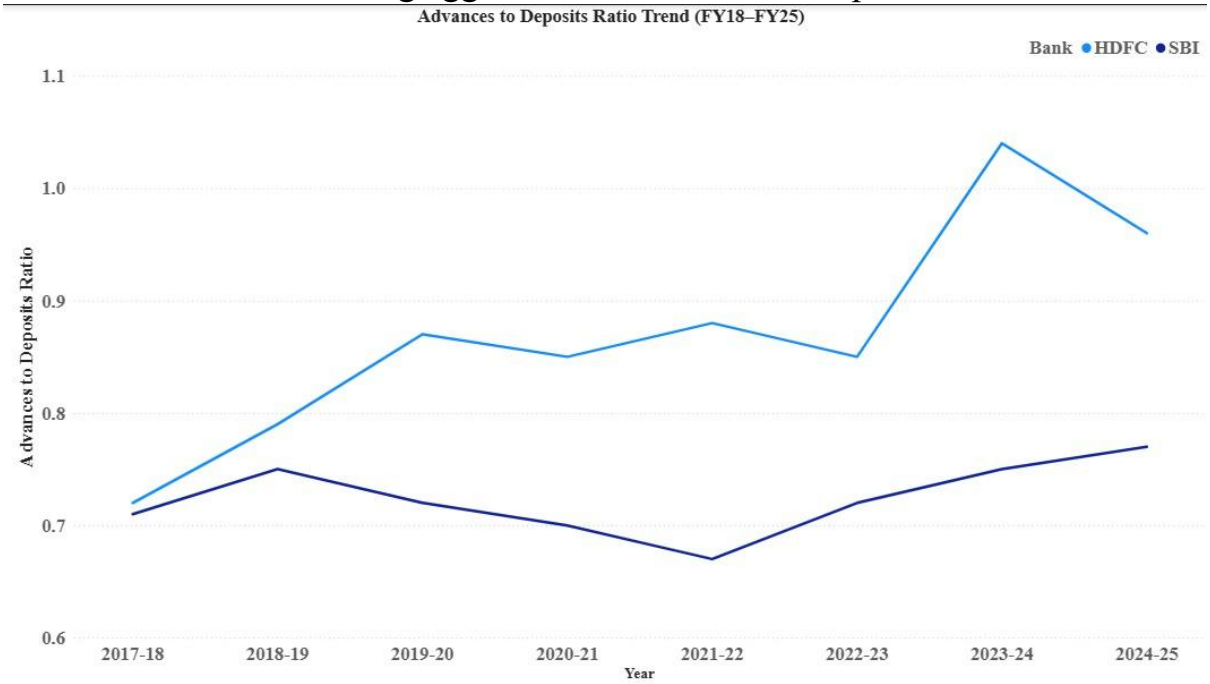
Interpretation

HDFC maintained stronger capital safety margins, while SBI progressively strengthened its capital position.

5. Lending & Liquidity Analysis

5.1 Advances to Deposits Ratio

This ratio measures lending aggressiveness relative to deposit mobilization.



Observations

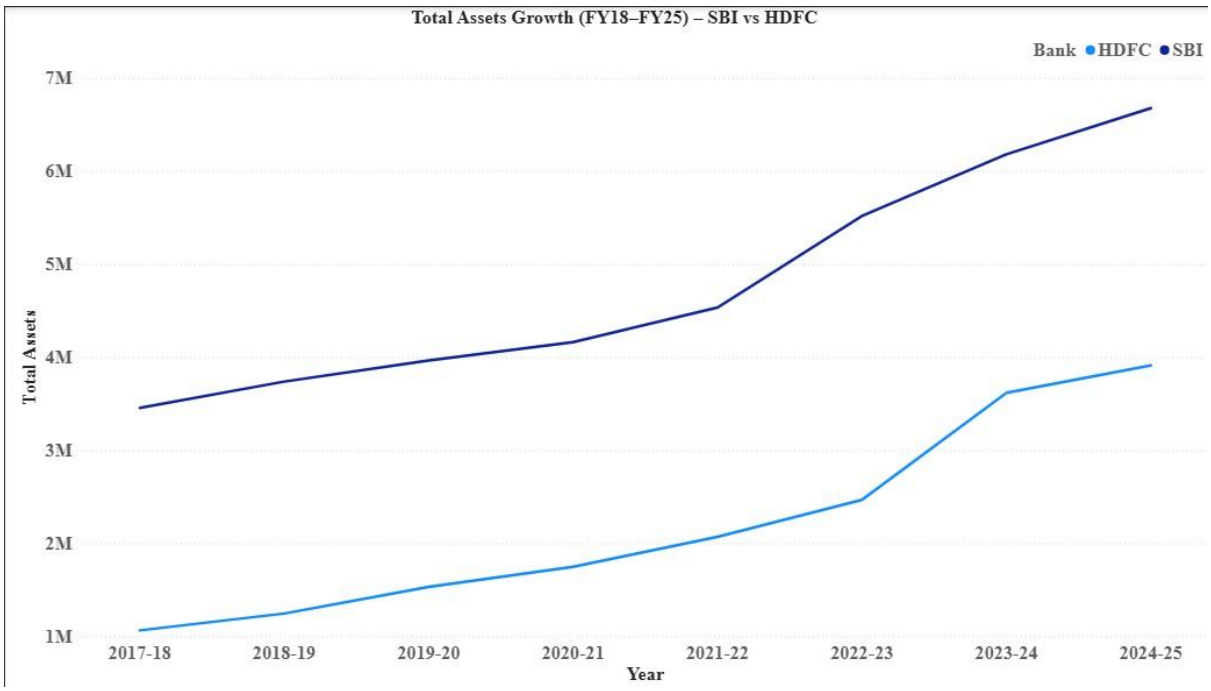
- HDFC's ratio increased post-FY23.
- SBI maintained a relatively more conservative ratio.

Interpretation

HDFC adopted more aggressive credit expansion in later years, while SBI followed a measured lending strategy.

6. Balance Sheet Expansion

6.1 Total Assets Growth



Observations

- SBI remained larger in absolute asset size.
- Both banks expanded balance sheets post-COVID.
- Acceleration observed during recovery and growth phases.

Interpretation

Both institutions strengthened scale post-COVID, indicating systemic resilience.

7. Phase-Wise Financial Understanding

The study period was categorized into four structured phases:

- Pre-COVID (FY18–FY20)
- COVID Shock (FY21)
- Recovery (FY22)
- Stabilized / Growth (FY23–FY25)

Pre-COVID

- SBI: High NPAs, weak profitability, restructuring phase.
- HDFC: Stable profitability, strong asset quality.

COVID Shock

- SBI: Continued asset quality improvement.
- HDFC: Maintained operational stability.

Recovery

- SBI: Clear profitability acceleration and NPA reduction.
- HDFC: Stable growth continuation.

Stabilized / Growth

- SBI: Transitioned from turnaround to growth mode.
- HDFC: Maintained stable compounding with increased lending aggressiveness.

---

8. Key Comparative Insights

1. **Stability vs Turnaround**
    - HDFC represents disciplined, low-volatility compounding.
    - SBI represents high volatility but successful structural turnaround.
2. **Asset Quality**
    - SBI drastically reduced Gross NPA levels.
    - HDFC consistently maintained low risk exposure.
3. **Profitability**
    - SBI showed strong post-COVID recovery.
    - HDFC delivered steady, sustainable profit growth.
4. **Capital Strength**
    - HDFC maintained stronger and more consistent risk buffers.
    - SBI progressively improved capital adequacy.
5. **Growth Dynamics**
    - Both banks expanded assets post-COVID.
    - HDFC demonstrated higher lending intensity in later years.

---

9. Final Conclusion

The comparative analysis demonstrates two distinct strategic trajectories:

- SBI achieved a structural turnaround through asset quality repair and profitability improvement.
- HDFC sustained its disciplined, stable, and low-risk growth model.

COVID did not structurally weaken either bank. Instead, both emerged stronger, though through fundamentally different pathways — one through recovery and transformation, the other through resilience and consistency.